

Municipalities: Don't cut us out of data centre decisions

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TORONTO – Ontario municipalities are telling the provincial government they don't want to be cut out of decision-making on AI data centres once the Ford government implements its so-called "Data Centre Playbook." Stakeholder consultations on the proposed regulatory framework ended Saturday. Once complete, it will lay out provincewide rules for the often-controversial facilities, with the government already planning to require data centres to pay their own dedicated electricity rate. In its consultation submission, the Association of Municipalities of Ontario (AMO) outlined what Ontario's 444 municipalities want to see included in the Data Centre Playbook. Chief among their concerns is maintaining community involvement in evaluating and approving the projects, which AMO argues is necessary to overcome growing public skepticism of data centres. "As data centre proposals come to municipal councils for consideration, municipalities are hearing more questions and concerns from residents about the potential costs, benefits, and impacts of these projects," AMO said in its submission. AMO said the province should establish a "collaborative process" for reviewing proposed data centres that would include the province, municipalities, project proponents, Indigenous communities and utility providers. "This process could also support the sharing of provincial projections on future demand, preferred locations, and infrastructure and energy system requirements for data centre growth," AMO wrote. "A collaborative approach would support informed decision-making and build public trust that projects have been thoroughly vetted and are the right fit for their community." Once the assessments required by the province are completed, municipalities say they want data centres to remain subject to the full municipal planning and zoning process so cities can make the final determination on whether a project is "right for their community." But to make that work, municipalities say they need the province to provide clarity on how data centres should be defined under current zoning bylaws and official plans. As it stands, the facilities are often not differentiated from warehouses or other commercial developments. Cities also need the province to set out how noise and other environmental impacts from data centres should be measured and mitigated. They also want the province to close a potential loophole that could allow colleges and universities to open data centres without municipal permission. Other things municipalities suggested for the data centre framework include a requirement to "balance provincial and municipal priorities alongside data centres." "AMO recommends that data centre proponents be required to demonstrate that their projects will not undermine the ability of municipalities to deliver other provincial and municipal priorities," the submission reads. They also want priority given to data centres that will provide economic benefits specifically to their host communities, not just to the

provincial and national economies. “There is particular concern that the local economic benefits of data centres are limited compared to more traditional forms of economic development,” AMO said, noting that most local jobs from data centres tend to be temporary construction roles. Municipalities are also concerned about how data centres would be assessed for property taxes, making it difficult to determine what the financial benefit for a city would be when approving a project. AMO suggested requiring data centres to provide community benefits such as payments directly to municipalities or contributions to local infrastructure projects – the latter is something the Ford government has already floated as a possibility. The AI industry is at a crossroads, with CEOs of OpenAI, Anthropic and xAI all agreeing that development needs to be slowed down due to mounting safety concerns, as models show themselves capable of breaking out of containment and conducting cyberattacks without being told to do so. There is also concern that AI models are quickly approaching the point where they would become capable of improving themselves. During the “OpenAI-Hugging Face incident,” an AI model used a “swarm” of copies of itself to carry out an attack, with Anthropic CEO Dario Amodei noting the AIs “essentially acted as a fanatically devoted collective . . . sacrificing themselves for the success of the group.” “We must slow the pace at which we improve the capabilities of AI models,” Amodei said on his blog earlier this month. Asked about these concerns and whether they will have any effect on the Ontario government’s plans for data centres, Premier Doug Ford said Wednesday the province is going “full steam ahead.” “But we have parameters too. We have very strict parameters for data centres to come in here,” he said.